We will focus on understanding trading systems and their progression. We will use multiple analytical tools to create strategies. Multiple strategies put together in a systematic manner form a trading system. Let us understand each part of this progression in greater detail.

ANALYTICAL TOOLS

Analytical tools are all the indicators and tools that we have discussed so far. Each tool tells us a particular fact about the price and volume movement of the asset. We employ each of these tools to help us determine if it is the bulls or the bears that have better control over the market. Each tool has its strengths and weaknesses.

STRATEGIES

We are now aware of a variety of analytical and each of them has pros and cons. No indicator exists in the world that can exactly point out the direction in which the market is headed with 100% accuracy and one that works in all circumstances and all kinds of market. As a result, we will combine various analytical tools to determine fixed entry and exit points based on the circumstances and price movement. We will create multiple strategies using different combinations of analytical tools. Creating strategies require a lot of backtesting, evaluation, trials, and efforts.

SYSTEM

We will use multiple trading strategies together to form a trading system. We do not form multiple trading systems. We assess the kind of strategies we will be using in different kinds of market, the kind of indicators to be used in an uptrend market, downtrend market, and sideways market and the effectiveness of multiple strategies. We will then device ways to manage risk and allocate capital to different strategies.